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Sensitivity Labels in Practice

Strategies, pitfalls, solutions

Introduction

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Agenda

1 Basics & Licensing

2 Challenges & Best Practices

3 M365 Copilot vs. Sensitivity Labels

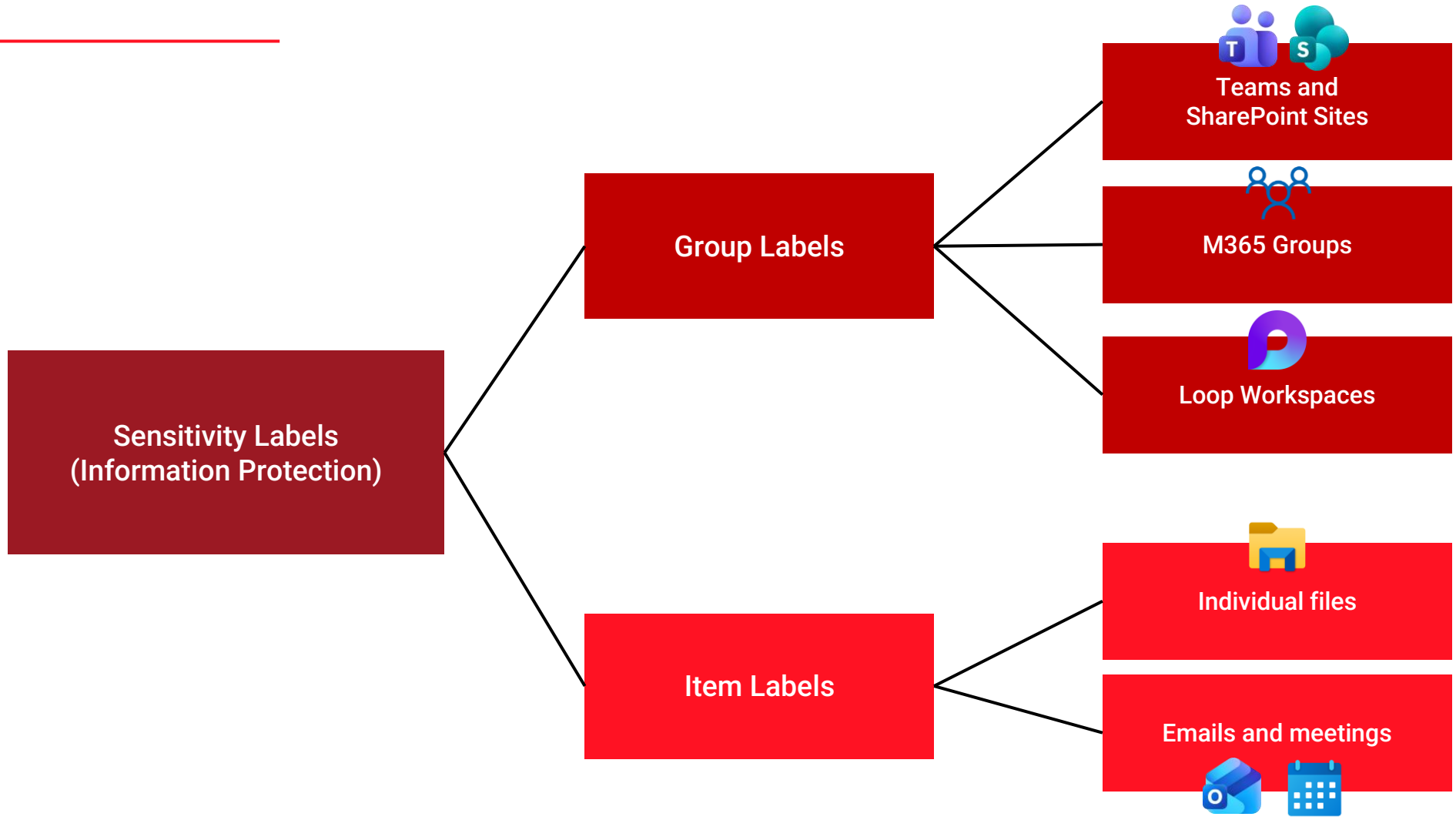
4 Q&A

Basics & Licensing

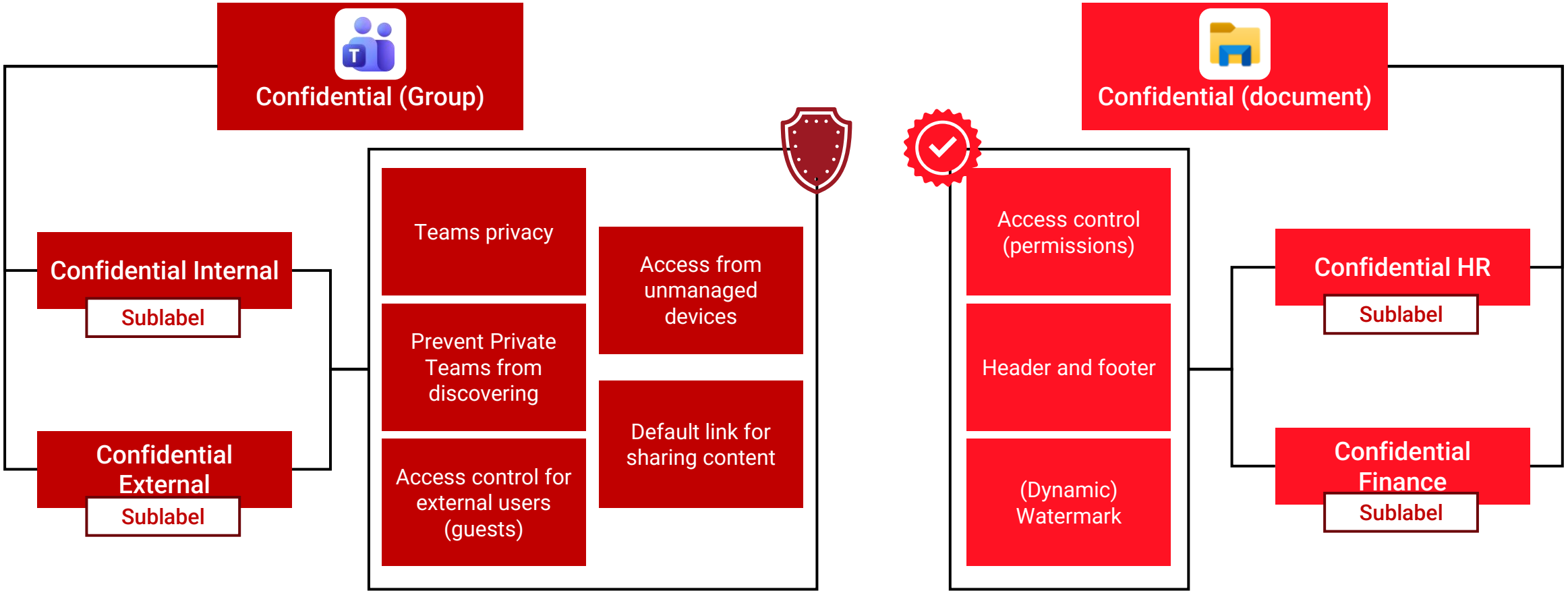
What are Sensitivity Labels?

- Data classification: Confidentiality of data is "named"
- Not just classifying, but automatic "impacts" on end users
- Access control (internal and external) through encryption
- Content labeling by means of header / footer and (dynamic) watermark
- Various obligations for users can be set (e.g. change label only with justification)
- Labels lay the foundation for further protective measures such as DLP

Types of Sensitivity Labels



Basic configurations



Limitations

Graph API & PowerShell

Sensitivity labels have no ‘direct’ connection to Graph API or PowerShell.

Private Teams channels

Labels cannot be published to private Teams channels. Private channels inherit the team's label.

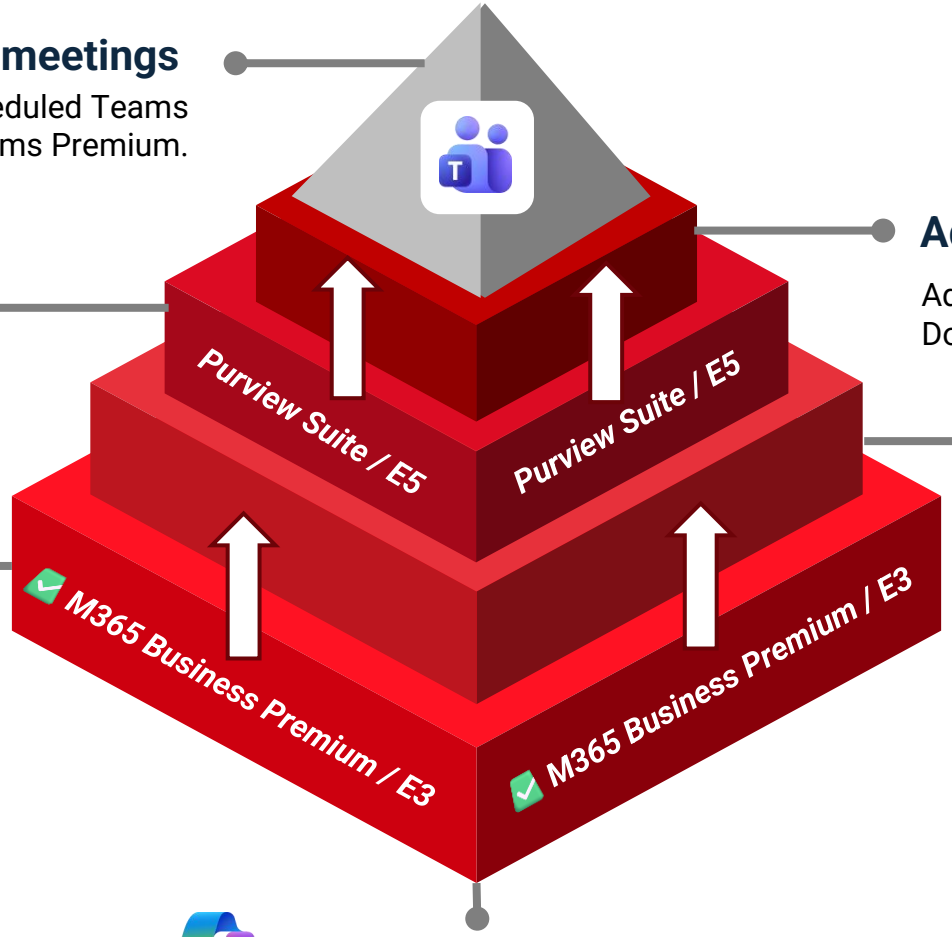
Advanced encryption technologies

There are various limitations when using increased encryption methods such as "Bring-Your-Own-Key".

Assignment to Users & Groups

A maximum of 500 labels can be assigned per person and group.

Licensing model



Labelling of Teams meetings

Labelling of online und scheduled Teams Meetings only with Teams Premium.

Auto-Labeling

Automated label assignment in scopes as well as based on SITs or Trainable Classifiers

Manual labeling

Users can set group and item labels manually

Advanced Label Features

Advanced Encryption, Conditional Access, Document Library Labeling

Data- and Messaging-Encryption

Data access protection and encryption of emails

Inheritance of labels

Inheritance of the source label to the content generated by Copilot (chat).

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Challenges & Best Practices

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Challenge #1

Too many labels and sub-labels

- Main labels not structured
- A sublabel for every use case
- Labels are oriented towards people

✅ Solution

- Max. 3-4 clearly defined main labels (e.g. "Internal", "Confidential", "Secret")
- Use sublabels only in high-priority labels
- Align labels based on data and processes rather than people or groups

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Challenge #2

⚠️

Implementation of group and item labels at the same time

- Technical configuration of both types of labels at the same time
- Increased technical complexity with publishing policies
- Overwhelming of the organization

✅ Solution

- Decision: Do we need both types of labels?
- Procedure: First introduce group labels technically, train them, apply them – then item labels
- Important: Detailed testing in advance with real-life use cases in the live environment

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Challenge #3

Incompatibility between Group and Item Labels

- From experience: Conflict when a "Confidential" document is placed in a "Secret" team
- Risk of inconsistencies in access control
- Permission settings do not apply

✅ Solution

- Keep priority congruent for both labels and publishing policies
- Important: Document must NOT have a higher priority than the labeled site it is stored in
- Preliminary identification of possible conflicts and inclusion in testing protocols

Challenge #4

Images and corrupt file formats

- Unable to label image files in SharePoint and OneDrive
- Older versions of Office are also not supported
- Other "corrupt" file formats cannot be labeled

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✅ Solution

- Install Azure Information Protection Client on Intune-managed devices
- This not only labels images and corrupt files, but also labels local data
- Important: Communication & Training

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Challenge #5

Usability vs. Compliance

- From practice: Months of discussions between business, data protection officer and IT
- Difficulty finding a consensus between low operational impact and data security
- Too strict settings block efficient collaboration

✅ Solution

- Allow enough time and (discussion) workshops for the concept phase
- Collect feedback from user groups most affected by the labels
- "Test" label configuration and recreate it in the business
- Record the final commitment in writing from all parties involved

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Live Demo

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Microsoft 365 Copilot vs. Sensitivity Labels

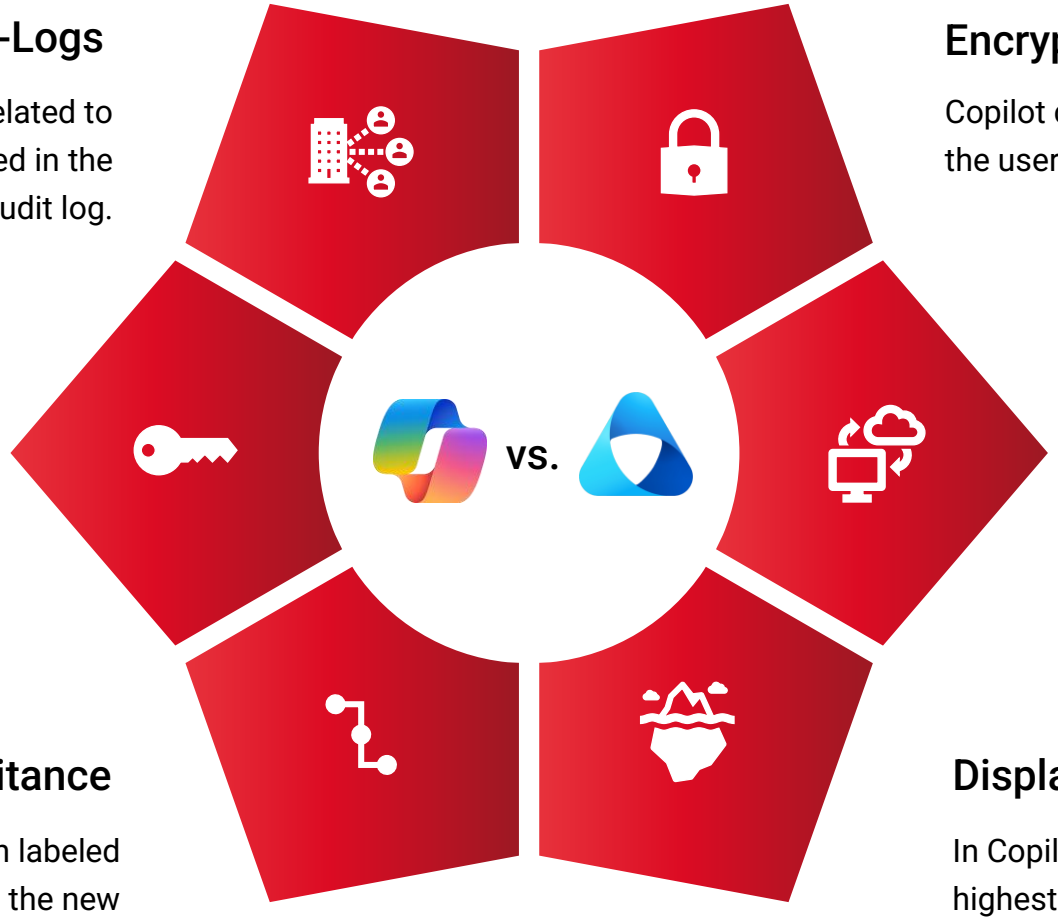
How Copilot works with Sensitivity Labels

Audit-Logs

All Copilot accesses and actions related to sensitivity labels are documented in the Microsoft Purview audit log.

Encryption

Copilot can only summarize or display content if the user has the rights (EXTRACT) and (VIEW).



Double-Key Encryption

For labels with DKE, Copilot cannot display content, even with EXTRACT permission, because Microsoft does not have the second key and automated services such as Copilot are excluded.

(EXTRACT) & (VIEW)

With only "VIEW" rights, Copilot can only provide the document link, "EXTRACT" rights are required for content extraction.

Label inheritance

If Copilot creates new documents based on labeled sources, the strictest label is applied to the new document, including protection mechanisms

Displaying content

In Copilot Chat, only the label with the highest priority that applies to the data used appears.

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Live Demo

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Q&A